Graham’s earnings power analysis

Using 10 years of net income to assess stability and persistence

One year of accounts is not enough

A single year does not reveal the full strength of a business.

Profits and losses over 10 years

Could the company remain profitable in recessions and difficult years?

Earnings fluctuations

Are earnings stable, or dependent on temporary exceptional demand?

Recent results versus the past

Is earning power improving, holding steady or deteriorating?

Look beyond this year’s profit

Assess whether the business can keep generating profits over the long term.

Three perspectives on 10-year net income

Look at the causes of profit and the ability to repeat it

01 Frequency of losses

The number of loss-making years helps assess business stability. Repeated losses call for examination of market conditions, competition, one-off costs and other causes.

02 Earnings quality and repeatability

Check whether a profit surge came from exceptional gains or a temporary boom. A 10-year history helps identify a normal earnings level.

03 Resilience in downturns

Could the company stay profitable in bad years? Past recession performance is informative, but does not guarantee the same resilience in the future.

Combine growth and stability

Alongside EPS growth, examine the stability of earnings and the factors that produced them.

A practical review process

Check comparability of accounting standards and consolidation scope

1. Number and causes of losses

Examine why losses occurred, not just how often.

2. Earnings fluctuations

Check the effects of business cycles, exceptional demand and one-off gains or losses.

3. Changes over the latest 3-5 years

Compare the historical record with today’s business environment.

4. Operating cash flow

Check whether accounting profits are accompanied by cash inflows.

5. Earning power and today’s share price

Use the findings to interpret measures such as P/E and assess the margin of safety.

What 10 years can tell you

Historical net income does not establish future profits. It supplies evidence for judging stability, repeatability and resilience.